



“ They (trade deals) are likely to have a positive impact on India’s trade. The US trade deal is the 20th FTA by India. But the timelines for the deals are to be seen.”

AJAY SRIVASTAVA
FOUNDER, GTRI



“ Closer trade ties with the US and the EU could provide a meaningful, though gradual, lift to India’s growth by expanding market access and improving export competitiveness.”

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industry and the overall economy will have to be seen.

Trade economist and former JNU Professor Biswajit Dhar says none of India’s trade deals till now have had a compulsory import provision from the partner country. “This rankles. FTAs should allow market forces to play out,” he says. The compulsory imports of \$100 billion annually from the US will impact domestic manufacturing and agriculture as well as trade balance and balance of payments, he warns. In FY25, India imported goods worth \$45.6 billion from the US and had a trade balance of \$40.8 billion.

Dhar says as a developing economy, India enjoys the benefit of special and differential treatment and lower tariffs and longer implementation period. “Cutting duty to zero for an 18% tariff on its imports will harm India’s interests,” he says.

There are also questions on how

long the trade deal with the US will hold given the volatile nature of the US President and his policies and if India can stop all oil purchases from Russia. The Executive Order by the US says it could reimpose the 25% penal tariff if India buys Russian oil. India, the third-largest importer of oil, has always had a diversified sourcing strategy.

A later document by the US government has, however, changed the language and said India “intends” to buy more American products and purchase over \$500 billion and has removed reference to certain pulses and text that India would remove its digital services tax. The concessions on the agriculture sector to the US also need to be studied carefully.

Meanwhile, just days after sealing a deal with India, the US has also concluded an Agreement on Reciprocal Tariffs with Bangladesh with a 19% reciprocal tariff. Signifi-

cantly, the US has also committed to establishing a mechanism that will allow for certain textile and apparel goods from Bangladesh to receive a zero reciprocal tariff rate; this has raised concerns among Indian exporters. The Confederation of Indian Textile Industry says this has opened a fresh challenge for India’s textiles and apparel exporters, for whom the US is their single-largest market. This challenge is two-fold. First, the tariff differential between India and Bangladesh has halved from 2% to 1%, which is a matter of concern in a sector with narrow profit margins. Secondly, the US-Bangladesh agreement could likely adversely affect India’s cotton yarn exports to Bangladesh.

An assessment of the impact of the deals must be undertaken to understand areas where we can do better, says Srivastava of GTRI. “The government must also undertake a review of the performance of the recently signed FTAs to understand utilisation, which is the most important aspect of trade deals, to gauge their impact on the ground. This will also give industry an opportunity to understand where they can do better,” he says.

Hermann says implementation of reforms must catch up with ambition. “This year’s Budget didn’t deliver a big-bang moment, but that was hardly unexpected after last year’s income tax, GST, and labour reforms. The real test, however, lies not in announcements but in execution, especially the new Labour Codes,” she says. What’s more, the mood across the world remains muted and on edge. Like in 2025, India cannot step back and must continue pursuing policy action, hoping for the best while preparing for the worst. **BT**

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